

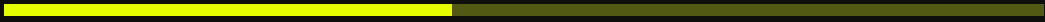
• FIELD GUIDE NO. 01 / FOR GENERAL CONTRACTORS

THE CONTRACTOR PROFIT LEAK *AUDIT*

Seven places general contractors lose money that never show up as a line item — and the one question that exposes each of them.

MODELED EXPOSURE

\$610,000 – \$1,400,000



Annual leakage for a \$20M general contractor with ordinary controls. Full math on page 4. This is a model built from line-item assumptions, not a survey — run it against your own numbers.

YOUR P&L TELLS YOU THAT YOU LOST MONEY. *NEVER WHERE.*

Ask a general contractor where his margin went and he will tell you about the job. The bad GC on that hospital. The sub that folded in March. The steel package that came in twelve percent over.

Those are real. They are also the losses he can see, which is exactly why they are not the expensive ones. A blown job gets a post-mortem. Everyone in the room learns something. It doesn't happen twice.

The losses that actually compound are the ones with no event attached — no bad day, no phone call, no line item. They are structural. They run every week on every job and they don't produce a moment anyone can point at. Nobody does a post-mortem on a process that never failed loudly.

This document maps seven of them. Each one is invisible for a specific mechanical reason — the information exists, but it lands in the wrong system, on the wrong desk, or three months after the decision it should have informed. That mechanism matters more than the leak itself, because it's the mechanism you fix.

For each leak you'll get four things: what it is, why you can't see it, roughly what it costs, and one diagnostic question you can answer this week without a consultant, a software purchase, or a meeting.

A leak you can name is a problem.

A leak you can't name is a business model.

WHO THIS IS FOR

General contractors and self-perform civil contractors between roughly \$5M and \$75M in annual volume, where the owner still sees every job but no longer touches every decision. That band is where these leaks are largest, because the systems haven't caught up to the volume.

HOW TO USE IT

Read it once straight through. Then work the scored audit on pages 13 and 14 — twenty-one yes-or-no questions, about fifteen minutes. Your score tells you which two leaks to attack first. Everything else can wait ninety days.

SEVEN LEAKS

Ranked by how rarely they're measured, not by size.

#	LEAK	WHY IT STAYS INVISIBLE	LIVES IN
01	Phantom Profit OVERHEAD SPREAD BY REVENUE	Every job clears its allocation, so every job looks fine. The subsidy between jobs never appears anywhere.	Accounting method
02	The Cost of Losing BID ECONOMICS BY SEGMENT	Estimating is salaried overhead, so pursuit cost never attaches to the pursuit. Losses cost nothing on paper.	Preconstruction
03	Money You Already Earned RETAINAGE CARRY	It's booked as a receivable, so it reads as an asset. The interest you pay to wait for it sits in a different account.	Working capital
04	Iron That Isn't Working EQUIPMENT & RENTAL DRIFT	The only people who can see idle iron have no incentive to report it and never see the invoice.	The field
05	Somebody Else's Payroll CERTIFICATE LAPSE	The bill arrives at the annual audit, months after the gap, as a single number with no job attached.	Risk / insurance
06	The Burden You Guessed SELF-PERFORM LABOR RATE	The job still shows gross margin. A wrong burden rate doesn't fail — it just quietly returns less than you priced.	Estimating
07	The Claim You Forfeited SCHEDULE DOCUMENTATION	You lose it the day you stop updating the schedule, but you don't find out until the day you need to prove it.	Project controls

Notice the fourth column. Not one of these lives in the field where the work happens, and not one of them lives in estimating where the price gets set. They live in the seams between departments — which is precisely why no department owns them.

Three more worth checking are on page 12. They're smaller or more specialized, but two of them are pure found money.

WHAT IT ADDS UP TO *ON \$20 MILLION.*

Reference contractor: \$20M annual volume, roughly \$2M of self-perform labor, 10% retainage held an average of twelve months, borrowing at 9%, rental spend around 4% of cost. Adjust to your shop — the point is the method, not the total.

#	LEAK	RANGE • BAR SCALED TO \$400K	LOW - HIGH
01	Mispriced work from overhead misallocation 1-2 POINTS OF MARGIN ON THE WRONG MIX		\$200,000 - \$400,000
02	Estimating spend on sub-8% hit-rate segments ~40 PURSUITS/YR AT \$4-8K EACH		\$60,000 - \$180,000
03	Carrying cost on retainage \$2M HELD × 12 MO × 9%		\$135,000 - \$180,000
04	Idle and over-held equipment 8-15% OF ~\$800K RENTAL SPEND		\$64,000 - \$120,000
05	Insurance audit premium on uncovered subs TWO TO FOUR CERTIFICATE GAPS		\$16,000 - \$70,000
06	Understated labor burden on self-perform 6-15 POINTS UNDERSTATED ON \$2M		\$120,000 - \$300,000
07	Forfeited delay and impact claims ONE UNPROVABLE CLAIM PER YEAR		\$15,000 - \$150,000

MODELED ANNUAL EXPOSURE

\$610,000 – \$1,400,000

READ IT AGAINST NET, NOT GROSS

CFMA's 2025 Construction Financial Benchmarker puts industry-average net income before taxes at 6.7% — and that blends in specialty trades. Pure GC and CM work routinely runs 2-4%. At 3% net, a \$20M shop clears about \$600,000: the low end of this model is the entire year's profit.

GC / CM TYPICAL

2-4%

INDUSTRY AVG NIBT

6.7%

BEST IN CLASS

~11.9%

WHAT THIS MODEL IS NOT

It is not survey data and it is not a claim about your company. Every figure is a stated assumption you can see and argue with. Change the inputs and the total changes. The useful output isn't the number — it's finding out which of the seven rows you cannot fill in for your own shop. Sources for the industry figures are listed on page 17.

PHANTOM PROFIT

The job you love is the job that's eating you.

THE LEAK

Most contractors allocate general and administrative overhead as a flat percentage of revenue. Every job absorbs the same rate regardless of what it actually consumed. It's simple, it's defensible to a banker, and it is wrong in a specific and expensive direction.

Overhead is not consumed by revenue. It's consumed by attention. A \$250,000 tenant finish with fourteen subs, a fussy architect, and a nine-week schedule burns more project management, more accounting transactions, and more executive time than a \$6M ground-up warehouse with six subs and a clean set of drawings. Charge them both 8% and the warehouse pays the tenant finish's bills.

ALLOCATED BY REVENUE (WHAT YOU SEE)

Tenant finish — \$250K × 8%	\$20,000
Reported job margin	14.0%

The estimator gets a bonus. The job type gets a marketing page.

THE TEST

Pull your five most profitable jobs from last year and your five largest. Divide each job's total contract value by the number of project management hours it consumed. If your "most profitable" jobs have the worst revenue-per-PM-hour, your profit report is describing your allocation formula, not your business.

WHY YOU CAN'T SEE IT

Because nothing fails. Every job clears its allocation, so every job reports a profit, so the report is never questioned. The subsidy moves between jobs and appears on no statement, in no variance report, and in no conversation.

The damage isn't the accounting error — it's the strategy built on top of it. When the small fast work looks profitable, you go get more of it. You staff for it, you build a reputation for it, and three years later you're running forty jobs at a volume that should take twelve, wondering why revenue doubled and cash didn't move.

ALLOCATED BY CONSUMPTION (WHAT'S TRUE)

PM hours 310 × \$95	\$29,450
Superintendent 240 × \$85	\$20,400
AP transactions 190 × \$22	\$4,180
Executive / preconstruction	\$6,000
True overhead consumed	\$60,030
True job margin	(2.0%)

THE FIX

You don't need activity-based costing. You need two drivers instead of one. Split G&A into a volume pool (allocated on revenue) and a complexity pool (allocated on PM plus superintendent hours). That reprices your whole portfolio in an afternoon and usually produces at least one job type you decide to stop chasing.

THE COST OF LOSING

02

\$60K-\$180K / YR

You are buying jobs. Nobody's checking the price.

THE LEAK

Every bid you submit costs real money — estimator hours, takeoff time, sub solicitation, scope review, the pre-bid walk, the proposal itself. Between \$4,000 and \$8,000 on a mid-sized commercial pursuit, more if it's design-assist.

Bid forty and win six and you spent roughly \$240,000 to acquire six jobs. That's an acquisition cost of \$40,000 per job, and it belongs in your margin math. Almost nobody puts it there, because estimators are salaried and salary is overhead and overhead has already been allocated somewhere else.

WHY YOU CAN'T SEE IT

The cost is denominated in time, and time you've already paid for feels free. A lost bid generates no invoice, no journal entry, and no record anywhere except a line in the bid log marked lost. So the honest question — what did we spend to lose that? — has no data behind it and never gets asked.

Worse, the number that is tracked is company-wide hit rate, an average that hides everything useful. A 15% blended rate can easily be one owner at 45% and four sources at 4%. You are subsidizing the four with the one, and the blended number says everything is fine.

SEGMENTED HIT RATE — TRAILING 24 MONTHS (ILLUSTRATIVE)				
SOURCE	BIDS/WINS	HIT RATE	EST. COST	FEE WON
Repeat owners	9 / 5	56%	\$54,000	\$840,000
Architect referral	14 / 3	21%	\$84,000	\$310,000
Public / low bid	31 / 2	6%	\$186,000	\$118,000
CM-at-risk invite	18 / 1	6%	\$126,000	\$96,000
Bottom two segments: \$312,000 spent to win \$214,000 in fee.				

That is not a bidding problem. That's a \$98,000 annual donation — and it comes with a second cost nobody prices: the good pursuits your estimator rushed because he was buried in the bad ones.

THE TEST

Take your last twenty-four months of bids. Tag each one by source — owner, architect, CM, delivery method — and compute hit rate per tag. Any segment below 10% over a meaningful sample is a segment you're funding, not competing in.

THE FIX

Write a one-page go / no-go standard with four or five hard gates and make it a document, not a judgment call: minimum hit rate for that source, a relationship with the decision-maker, a buildable schedule, bonding capacity, the right super available. Score it before the estimator opens the drawings. Declining a bid you'd lose anyway is the highest-return decision in preconstruction, and it's free.

MONEY YOU ALREADY EARNED

Retainage isn't a receivable. It's a loan you made.

THE LEAK

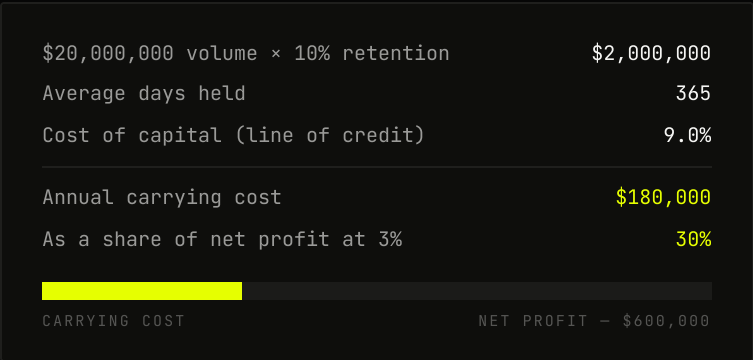
Ten percent of everything you bill is held back, on average, for somewhere between eight and eighteen months after you earned it. On \$20M of volume that's roughly \$2M sitting in someone else's account — while you draw on a line of credit to make payroll on the next job.

You are financing your customer's project with borrowed money, at your borrowing rate, on money you have already earned and already spent to produce. Nobody calls it that, because on your balance sheet it's an asset.

WHY YOU CAN'T SEE IT

The two halves of the transaction live in different accounts and never meet. Retainage receivable sits on the balance sheet looking healthy. The interest you pay to survive its absence sits in interest expense, undifferentiated, next to the truck notes. No report connects them, so the cost of waiting is never attributed to the thing that caused the wait.

The second reason is relational, and it's the bigger one. Everybody in the chain believes that asking hard about retainage costs you the next job. So a real cost gets traded for a presumed risk that nobody has ever tested.



THE INDUSTRY NUMBER

Slow payments cost U.S. construction an estimated \$280 billion in 2024 — up from \$208 billion in 2022 (Rabbet, Construction Payments Reports). Nearly every GC surveyed reports floating payments to subs while waiting on owners. You are not an outlier. You are the market.

Thirty percent of your net profit, spent on the privilege of waiting for money you already earned. And every one of your subs is doing the same math against you — which is why the ones with thin balance sheets fold in month nine and hand you their unfinished scope.

THE TEST

Pull total retainage receivable, multiply by your line-of-credit rate, and divide by last year's net profit. If nobody in your company can produce that percentage inside ten minutes, it isn't being managed — and it's likely the single largest uncontested expense in the business.

THE FIX

In order of difficulty: negotiate reduced retention at 50% completion — it's in more contracts than most GCs ever invoke. Bill retainage on completed, accepted scopes instead of waiting for full closeout. Track days-held by owner, so you know which relationships are actually expensive. Price a retainage bond — typically 1–3% per year of the held amount to release the cash, against the 9% you're borrowing at. And know your state's prompt-payment statute: in Texas, Chapter 28 of the Property Code sets interest on late private-project payments at 1.5% per month — 18% a year. One letter that cites the statute changes behavior more reliably than five phone calls; have your attorney confirm the notice requirements first.

IRON THAT ISN'T WORKING

\$64K-\$120K / YR

The meter runs whether the machine does or not.

THE LEAK

Rental and equipment cost typically runs 3–8% of job cost on commercial work, and considerably higher on underground and sitework. The leak is not the rate you negotiated. The leak is time: days and weeks where a piece is on rent, on your job, generating charges, and not producing work.

Trench boxes staged three weeks before the excavation reaches them. A pump that ran four days in month one and has sat since. Plate compactors that never went back after the scope closed. Every one is a real invoice a real person approves without ever asking whether the machine moved.

WHY YOU CAN'T SEE IT

The only people who can see idle equipment are the people with no reason to report it. A laborer walks past that compactor every morning and knows exactly how long it's been sitting. Reporting it creates work, a conversation with a foreman, and risk if the scope comes back next week and the thing is gone. The cost lands on a P&L he'll never see. Nobody is careless here — the information is just sitting with the one person who has every reason to keep it.

Then a second layer of cover: rental invoices are small and constant, so they clear approval on pattern recognition — nobody audits a \$2,400 invoice that looks like the last eleven. And the call-off usually happens verbally, with the person whose utilization number depends on the answer. A verbal call-off has no timestamp, so the days that go missing there can never be found.

Rental spend at 4% of \$20M	\$800,000
Conservative idle / over-held drift @ 8%	\$64,000
Typical drift where no reconciliation exists @ 15%	\$120,000
One trench box at \$1,850/mo, held 6 weeks past need	\$2,775
Repeated across 9 jobs a year	\$24,975

THE TEST

Print every open rental line on every active job. Walk one job with that list and ask a single question per item: has this moved in the last seven days? If you can't get an answer for more than two items, you're not measuring the largest controllable cost in your field operation.

THE FIX

Three controls, all free. Set the off-rent date at the schedule, not in the moment — if the box comes off at backfill complete, that date exists in your look-ahead three weeks out. Call off in writing and log the confirmation number, every time. Tag every piece on site with its on-rent date and monthly rate in numbers readable from ten feet — that one costs nothing and changes behavior by itself, because the man walking past it every morning finally sees a price. Worksheet on page 15.

SOMEBODY ELSE'S PAYROLL

The cheapest five-figure mistake in construction.

THE LEAK

At your annual general liability and workers' compensation audit, the carrier reviews every dollar you paid to subcontractors. For any sub who cannot be shown to have carried their own coverage for the entire period they worked for you, the carrier is generally entitled to treat that spend as your own uninsured exposure and rate it accordingly.

A \$400,000 subcontract with a certificate gap can generate a five-figure additional premium. It is not a penalty and it is not negotiable after the fact. It's the policy working as written.

WHY YOU CAN'T SEE IT

Timing, and aggregation. Most contractors collect certificates at contract execution and never think about them again — but the sub's policy renews on the sub's schedule, not yours, and a two-month lapse mid-project produces a certificate on file that looks perfectly valid and covers nothing.

Then the consequence arrives eight months later as a single audit number with no job attached, no sub named, and no obvious cause. It gets booked to insurance expense, everyone grumbles about carriers, and the same gap opens again next year with a different sub.

Subcontract value with certificate gap	\$400,000
Portion rated as uninsured labor	varies by carrier and class
Typical additional premium per gap	\$8,000 - \$25,000
Two to four gaps in a normal year	\$16,000 - \$70,000
Cost to prevent	one calendar reminder

THE TEST

Pick your three largest active subcontractors. Pull their certificates and compare the policy expiration date to their projected last day on site. If any policy expires first — and one usually does — you have a live exposure right now, and you found it in four minutes.

THE FIX

Track certificates by expiration date, not by contract. One spreadsheet column, sorted ascending, reviewed monthly. Automate the renewal request thirty days out. Make final payment contingent on a current certificate covering the full period of work, and put it in the subcontract so it's a term rather than a favor. This is the highest return-per-minute item in this entire document.

THE BURDEN YOU GUESSED

A number somebody picked in 2019 and nobody has touched.

THE LEAK

Ask a contractor his labor burden and you'll get a round number. Thirty-five percent. Forty. It's rarely calculated and almost never recalculated — and the true loaded cost of a self-perform hour usually lands between 48% and 58% over base wage once everything that rides on the hour is counted.

Every hour bid at the wrong burden loses the difference, silently, on work you won precisely because your number was lower than the guy who calculated his.

WHAT'S IN THE ASSUMED 35%

Payroll taxes (FICA, FUTA, SUTA)	9.5%
Workers' comp at current x-mod	12.0%
General liability allocation	2.5%
Health and benefits	11.0%
Assumed burden	35.0%

WHY YOU CAN'T SEE IT

Because the job doesn't fail. It comes in at 9% instead of the 14% you bid, and that gets explained by weather, a hard inspector, or a rough month. The explanation is always available and always plausible, so the actual cause — one rate applied identically for six years — is never the suspect.

The rate lives in estimating. The actuals live in accounting. Nobody owns the road between them, so the gap persists year after year, repriced into every bid you win.

WHAT'S ALSO IN THE HOUR

Paid time off and holidays	4.5%
Small tools and consumables	2.5%
Training, certifications, safety	1.5%
Travel, per diem, drive time	3.0%
Non-productive time (weather, standby)	6.0%
True loaded burden	52.5%

ASSUMED 35%

UNDERSTATED 17.5 PTS

ON \$2M OF SELF-PERFORM LABOR

\$350,000 / yr

THE TEST

Take one field employee. Add every dollar your company spent on him last year — wages, taxes, insurance at your current x-mod, benefits, PTO, training, tools, truck, phone. Divide by the hours he actually charged to jobs. Compare that to the rate in your estimating template. The gap is what you've been giving away per hour.

THE FIX

Recalculate burden annually from actual payroll, in the month your comp policy renews, and divide by billable hours rather than payroll hours — that alone is four to six points. Then push last year's actual productivity back into your estimating database. It almost never happens: actuals live in accounting, assumptions live in estimating, and nobody owns the road between them.

THE CLAIM YOU FORFEITED

\$15K-\$150K / YR

Lost in March. Discovered in November.

THE LEAK

Owner-caused delay is compensable under most contracts. Late design releases, slow RFI turnaround, undisclosed site conditions, restricted access, out-of-sequence direction — all of it has a cost, and most of it is recoverable.

Recoverable, that is, if you can prove it. Proof requires a baseline schedule and contemporaneous updates showing what the critical path was before the event and what it became after. Without that, you have a story. Stories do not get paid.

WHY YOU CAN'T SEE IT

This one has the cruelest timing in the document. You lose the claim on the day you stop updating the schedule. You find out ten months later, in a conference room, when your attorney asks for the March update and there isn't one.

Between those two dates there is no signal at all. Nothing breaks. The job runs. Skipping a schedule update never causes a problem on the day you skip it — which is exactly why it becomes routine. The cost is real and already incurred; it just hasn't been billed to you yet.

Every unprovable claim was once a provable claim that nobody wrote down.

ONE SIX-WEEK OWNER DELAY (ILLUSTRATIVE)

Extended general conditions, 6 weeks @ \$18,500/wk	\$111,000
Escalation and inefficiency	\$42,000
Extended equipment and rental	\$23,000
Recoverable with contemporaneous schedule updates	\$176,000
Recoverable without them	\$0

THE TEST

Pick your most troubled active job. Ask for the baseline schedule and every monthly update since notice to proceed. If there's a gap of more than sixty days anywhere in that sequence, every delay that occurred in the gap is currently unrecoverable — and it stays that way permanently.

THE FIX

Monthly schedule updates as a condition of the monthly pay application, on every job over a threshold you set. Written notice within the contractual window every single time, even when you have no intention of pursuing it — notice preserves the right and costs an email. And keep a daily report that records the reason for lost time, not just the weather and the headcount. Six months later, the reason is the only thing worth anything.

THREE MORE *WORTH CHECKING*.

Smaller or more specialized, but two of these are found money.

08 THE JOB THAT NEVER ENDS AND NEVER TEACHES

Closeout drags one to three months past substantial completion — punch, O&M manuals, as-builts, warranty letters — all consuming project management time after the fee is fully drawn. Then year-two callbacks get charged to overhead instead of back to the job, so the original job shows a profit forever and you keep bidding that scope at the same number. There's no feedback loop, so the same detail fails on the next four buildings.

FIX Budget closeout as a real line with real hours. Charge warranty work back to the originating job even though the job is closed. Review warranty cost by scope annually and let it change what you bid.

09 TAX POSITIONS NOBODY CLAIMED

Three items that recur constantly, and each requires a professional to execute properly. Texas sales and use tax treats new construction and remodel differently on nonresidential work, and treats lump-sum and separated contracts differently again — misclassify and you either overpay at purchase or get assessed later with interest. R&D credits are available far more often than contractors believe, particularly on design-build and genuine means-and-methods engineering — and the 2025 tax law made them meaningfully better: domestic research costs are once again fully deductible in the year incurred, and qualifying small businesses can amend 2022–2024 returns to recover tax already paid. And 179D deductions on energy-efficient systems in government and nonprofit buildings — worth up to \$5.81 per square foot — can be allocated by the tax-exempt owner to the designer or builder, and frequently go unallocated because nobody asks. The same law sunsets 179D for projects that begin construction after June 30, 2026, so this one is now a use-it-or-lose-it item.

FIX One meeting with a CPA who specializes in construction — not a generalist. Bring three years of returns and a list of your delivery methods. This is not a do-it-yourself item and nothing here is tax advice.

10 DISCOUNTS DECLINED AND TERMS NOT ENFORCED

Two-ten net thirty is roughly a 37% annualized return on the twenty days you accelerate. Contractors skip it constantly on cash-flow instinct, which means declining a 37% return to avoid a 9% borrowing cost. Separately, pay-when-paid language sits in most subcontracts and goes unenforced, so the GC funds the sub's payroll out of its own line of credit while waiting on the owner — paying interest to solve a problem the contract already solved.

FIX Compute your actual cost of capital once. Take every discount that beats it. Read your own subcontract and use the terms you already negotiated.

THE SCORED AUDIT

Check the box only if the answer is an unqualified yes — meaning someone in your company could produce the document or the number today, without building it first. “We could probably pull that” is a no. Each checked box is one point.

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01 / PHANTOM PROFIT

- ☐ We allocate overhead using at least two drivers, not revenue alone.
- ☐ I can name our least profitable job type — not job — and defend it with numbers.
- ☐ We track project management hours by job and review revenue per PM hour.

02 / THE COST OF LOSING

- ☐ We know our hit rate broken out by source, not just company-wide.
- ☐ We have a written go / no-go standard that has caused us to decline a bid in the last ninety days.
- ☐ I know roughly what one pursuit costs us in estimating time.

03 / MONEY YOU ALREADY EARNED

- ☐ I know our total retainage receivable right now, within ten percent.
- ☐ We track average days-held by owner and use it in go / no-go.
- ☐ We have requested reduced retention or billed retainage early in the last twelve months.

04 / IRON THAT ISN'T WORKING

- ☐ Someone reconciles open rental lines against the look-ahead schedule at least weekly.
- ☐ Every call-off is confirmed in writing with a confirmation number on file.
- ☐ Off-rent dates are set from the schedule in advance, not decided in the moment.

05 / SOMEBODY ELSE'S PAYROLL

- ☐ We track subcontractor certificates by expiration date, not by contract.
- ☐ Renewal certificates are requested automatically before the policy lapses.
- ☐ Our last insurance audit produced no material additional premium for uncovered subs.

- ☐ Our labor burden rate was recalculated from actual payroll data in the last twelve months.
- ☐ Burden is divided by billable hours, not total payroll hours.
- ☐ Actual productivity from completed jobs feeds back into our estimating database.

07 / THE CLAIM YOU FORFEITED

- ☐ Every active job over our threshold has a baseline schedule and current monthly updates.
- ☐ We give written notice of delay within the contract window every time, as policy.
- ☐ Daily reports record the cause of lost time, not just weather and headcount.

YOUR SCORE

OUT OF 21

WHAT IT MEANS

17-21 Genuinely well controlled. Your leaks are in the appendix items and in mix strategy. Go read page 12.

11-16 Normal for a well-run shop. Two or three leaks are running unmeasured. Pick your two lowest sections and fix those only.

6-10 Your margin is being set by things nobody is watching. The modeled exposure on page 4 is likely conservative for you.

0-5 Everything is running on the owner's memory. That works until volume outgrows one person's attention — and it already has.

A low score is not a judgment about how well you build. It's a measurement of how much of your company still lives in one person's head.

The pattern worth noticing: nearly every question above asks whether a number exists and reaches the person who can act on it — not whether your people are careful, not whether you build well. Every leak in this document is a visibility failure wearing a discipline costume. Which is good news, because discipline is hard to change and visibility is an engineering problem.

WEEKLY EQUIPMENT RECONCILIATION

Twenty minutes, once a week, with the superintendent and the look-ahead schedule open. One question per line: is this working this week — yes or no? Two consecutive weeks of “no” forces a call-off decision. Nothing else on this page matters as much as that rule.

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EQUIPMENT / ID	ON-RENT DATE	RATE	LAST MOVED	SCHEDULED THRU	WORKING?	ACTION
					Y / N	
					Y / N	
					Y / N	
					Y / N	
					Y / N	
					Y / N	
					Y / N	
					Y / N	
					Y / N	

THREE RULES THAT MAKE IT WORK

1. The superintendent answers the “working?” column, not the office. He's the only one who knows.
2. Every call-off goes out in writing and the confirmation number goes in the Action column. No exceptions, no matter how good the relationship is.
3. The “scheduled thru” date comes from the look-ahead, and it gets filled in the day the piece arrives — not the day someone wonders about it.

WHAT YOU'LL FIND THE FIRST TIME

Expect two or three items nobody can answer for. That's the point of the exercise — not the ones you call off, but the ones where the question itself has no owner. Those are the lines that have been running for months.

Run it four weeks straight before you judge the result. The first week finds dollars. The fourth week changes behavior, because the field learns the question is coming.

DON'T FIX *SEVEN THINGS*.

Every contractor who reads a document like this tries to fix everything in it, gets four weeks in, and abandons all of it. Pick the two sections where you scored lowest. Ignore the rest until these are running without you.

WINDOW	MOVE	OWNER
Week 1	Pull three subcontractor certificates and check expiration against last day on site. Compute retainage receivable × your borrowing rate. Both take under an hour and both produce a number you didn't have.	Owner / controller
Weeks 2-4	Run the equipment reconciliation on every active job, four weeks straight. Tag every piece on site with its on-rent date and rate. Move all call-offs to written confirmation.	Superintendent
Weeks 3-6	Tag twenty-four months of bids by source and compute hit rate per segment. Write the one-page go / no-go standard. Use it on the next pursuit whether or not it feels ready.	Preconstruction
Weeks 5-8	Recalculate labor burden from last year's actual payroll, divided by billable hours. Update the estimating template the same week — the calculation is worthless sitting in a spreadsheet.	Controller / estimating
Weeks 6-10	Split G&A into a volume pool and a complexity pool. Re-run last year's jobs both ways. Find the job type that stops looking profitable, and decide what you're going to do about it.	Owner / controller
Weeks 8-12	Attach schedule updates to the monthly pay application on every job over your threshold. Change the daily report to capture cause of lost time. Both are permanent once they're habit.	Project controls

Every item on this page is measurement, not effort. You are not asking anyone to work harder. You are asking a number that already exists to arrive somewhere it can be acted on.

That distinction is the whole argument. Contractors who lose money to these leaks are not undisciplined — most of them are the hardest-working people in any room they walk into. They're operating a business whose information moves slower than its decisions. Discipline can't close that gap. Only a system can.

I'VE BEEN ON THE OTHER SIDE OF YOUR INVOICES *FOR TWENTY YEARS.*

I spend my days selling and servicing equipment to general contractors and civil crews across North Texas. That's a strange seat to write from, and it's also the reason I can. I've watched hundreds of contractors run their operations from the outside, across every size and every level of sophistication, and the pattern is consistent enough to be boring.

The good ones and the struggling ones don't differ much in how hard they work or how well they build. They differ in what they can see. The ones who thrive have a small number of numbers that reach the right desk while the decision is still open. The ones who grind have the same numbers, arriving three months late, in a report nobody reads.

6SIGNAL.

We build the visibility layer for contractors — the systems that get the right number to the right person while the decision is still open. Operational dashboards, automated reconciliation, and AI infrastructure that makes a company legible to the people running it. And the other half of the same problem: making your company visible to the customers and the AI search engines now deciding who gets recommended before anyone picks up a phone.

Before this I spent twenty years leading people and building systems in an entirely different world, and the problem turns out to be the same one everywhere: good people, working hard, inside structures that hide the thing they most need to know. 6 Signal exists to close that gap for contractors — and this field guide is the map we wish every one of our customers had.

IF YOU WANT A HAND

Work the audit first. Then find out how visible your company is to the AI search engines now deciding who gets recommended — the 6 Signal Visibility Audit is a self-serve report on your numbers, run entirely online for \$27. No call, no pitch. You'll see exactly where you show up, where you don't, and the two things worth fixing first. If you scored above sixteen here, I'd like to hear how you got there — that's a shorter list than you'd think.

RUN THE VISIBILITY AUDIT — \$27

SELF-SERVE • YOUR NUMBERS • NO CALL, NO PITCH

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Sources for industry figures: CFMA 2025 Construction Financial Benchmarker (net income before taxes, industry average and best-in-class); Rabbet, 2024 Construction Payments Report (cost of slow payments); Texas Property Code Chapter 28 (prompt payment, private work); Internal Revenue Code §§41, 174A, and 179D as amended by Public Law 119-21 (July 2025). This guide is general operational information, not accounting, legal, tax, or insurance advice. The financial model on page 4 is built from stated assumptions and is illustrative only — it is not survey data and describes no specific company. Statutory payment terms, tax treatment, and insurance audit practice vary by state, carrier, and contract. Confirm anything here with your CPA, your attorney, and your agent before acting on it.